TOPIC 1 · THE GLOBAL ECONOMY

Euronews · ABC News
2 Nov 2026

Oil eases on Hormuz talks, but the supply shock is not over

> Oil prices dipped as Iran discussed reopening the Strait of Hormuz, but at around US$110 a barrel they remain high enough to keep pushing up inflation around the world, including in Australia.

WHAT HAPPENED

- **Brent crude** fell about 2–3% on Monday to around US$108–111 a barrel, after rising 14–15% in October and peaking near US$118.
- **Iran** held talks in Qatar on reopening the strait, which normally carries about a fifth of the world's oil. It set conditions, including an end to the US naval blockade.
- **Goldman Sachs** says about US$27 a barrel is a geopolitical risk premium, and it lifted its end-of-year Brent forecast to US$105.
- **Spillovers:** Italy's inflation hit 5.4% in October on energy costs. In Australia, fuel rose 9.4% in the September CPI month.

BY THE NUMBERS

~US$110
Brent crude a barrel, 2 Nov

+14–15%
Rise in oil prices during October

US$27
Estimated risk premium a barrel (Goldman)

5.4%
Italy's inflation, October

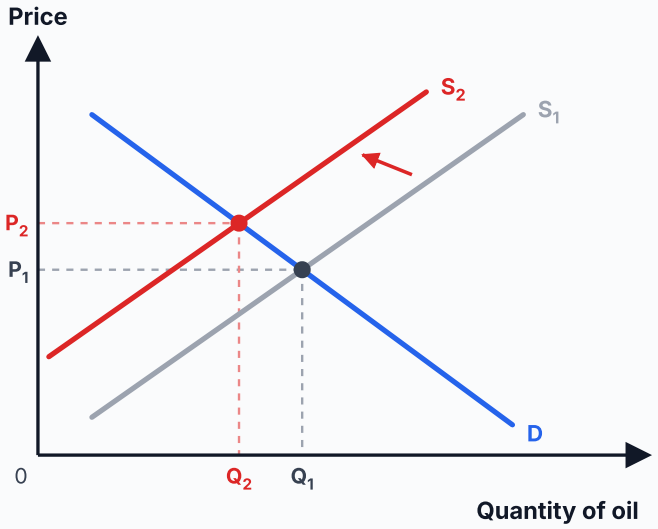
KEY TERMS

Supply shock: An unexpected event that cuts productive capacity or raises input costs.

Cost-push inflation: Inflation driven by higher production costs rather than excess demand.

Price inelastic demand: Quantity demanded responds little to a price change, as for fuel in the short run.

DIAGRAM — Why a supply cut causes a big price rise



In the short run, **demand for oil is price inelastic** (steep D). When conflict shifts supply from **S_1 to S_2**, quantity falls only a little (Q_1 to Q_2), but the **price jumps** from P_1 to P_2. A deal that reopens the strait would shift supply back to the right.

Diagram is illustrative, not to scale.

Exam angle: On an AD/AS diagram the same shock shifts **SRAS left**, raising the price level while cutting real GDP: this is **stagflation**.

FLOW CHART — The chain of cause and effect

Hormuz disruption → Global oil supply falls → Petrol and freight costs rise → **Higher CPI in Australia**

SYLLABUS LINK

Topic 1 – global economic issues: supply shocks and international transmission. Also Topic 3 – inflation (cost-push).

TRY THIS

Explain how a disruption to oil supply in the Middle East can affect inflation and economic growth in Australia. **(4 marks)**

Sources: Euronews – Oil slides on Hormuz deal hopes, 2 Nov 2026 – https://www.euronews.com/2026/11/02/oil-slides-on-hormuz-deal-hopes-but-trump-keeps-iran-strikes-on-the-table · ABC News – business live blog, 2 Nov 2026 – https://www.abc.net.au/news/2026-11-02/asx-markets-business-live-news-nov-2/107334212

Summarised and paraphrased from the sources listed